



# Pivot

Rapid Strategy & Simple Test Frameworks  
For Agile Business Owners.

# Our Session Objective

Welcome, it's all about you and your business today...

- Everyone contributes to collaborative thinking.
- Planned Breaks & Housekeeping
- **My/Our Role in the Planning Session is to Challenge What You Believe To Be True!**
- **Your Role is to be Ready To Explore Issues/ Ideas With an Open Heart and an Open Mind.**
- The Objective (expectations) for Today's meeting is that we 'Discover What We've Been Missing'!
- Record what we learn.
- Build an action plan going forward.

# The Pivot Process

1. Identify the Resistance
2. Choose Your Competition Fronts
3. Rehearse the Message
4. Trial the Prototype
5. Do It & Review It

Identify the Resistance

# What's Forcing The Change?

(Discussion Points)

# Porter's (Michael) 5 Forces

(Where's the pressure coming from??)

How easy is it for new entrants to enter your marketplace? Is it conceivable that your current supplier could become your future competition for example?

**Technology, Innovative approach  
Barriers to entry.**

What are the alternatives to your product or service? Could your customers solve their problem a different way?



Are customers likely to be motivated to pay premium prices in return for 'latest style/fashion', technology or prestige/status? Are customers concerned about your business safety/ environment / ethical impact?

**Expectations, Market Demands,  
Drivers of Needs & Wants.**

Is there competition amongst your suppliers? do they actively compete for your business and if you had to shift to a new supplier, how easy would it be?

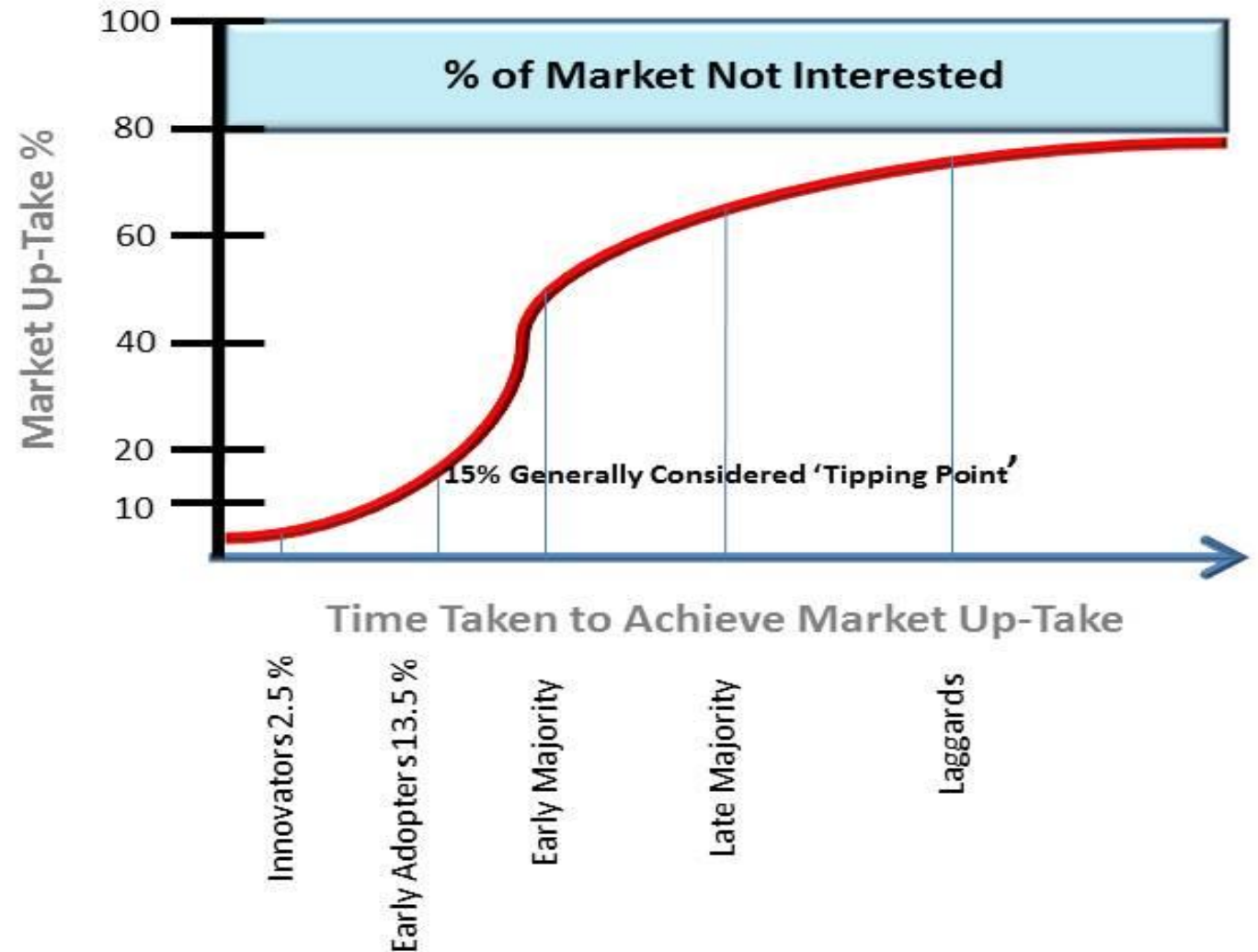
# Market Diffusion Theory

Market Diffusion Theory relates to the concept of market Acceptance and Saturation.

The theory explores the natural stages required to bring a new product (or service) to market; the costs and time associated and the likely timing of increased competition once the market is 'educated'.

(You may also see the resemblance to the 'Law of Diminishing Return' as the growth curve reaches the 80 percent threshold.)

Market Diffusion Theory can also be correlated to lower material and manufacturer costs as sales volume increase; as well as Premium Pricing points for products considered 'The Latest' with dropping prices once they're considered 'The Norm'.

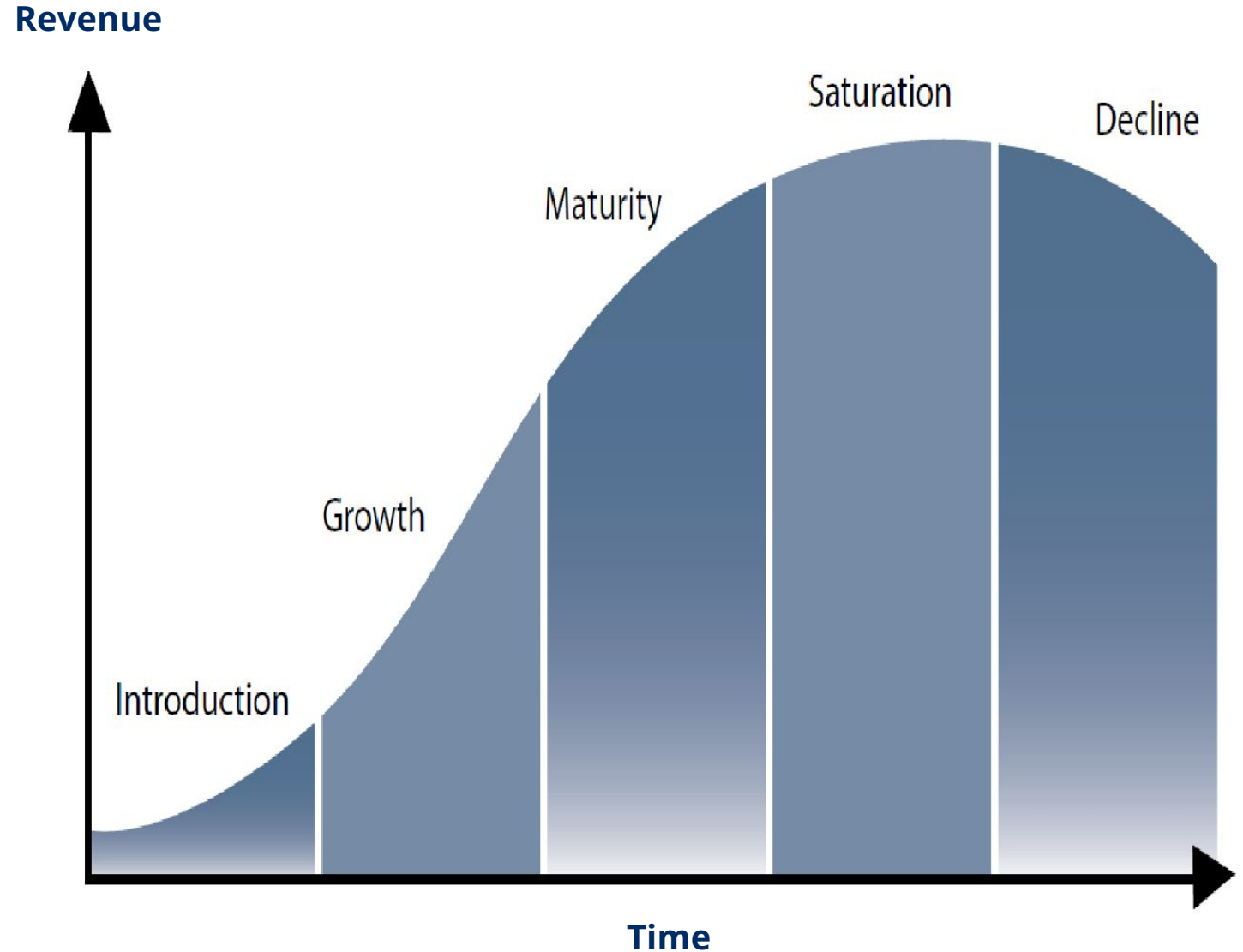


# Product Life Cycle

The Product Life Cycle relates to the concept of Product Suitability when faced with Newer (updated) or Alternative (serves the purpose but performs differently) product offers.

The Key difference between market diffusion and the product life cycle is that (with diffusion theory) a market may have reached saturation whilst the product still enjoys acceptance and still fulfills a market need.

**Whereas (with product life cycle) it's the product itself that is considered obsolete.**



# Technology Points

(Chris Anderson - Wired Magazine)

## The Four Key Stages:

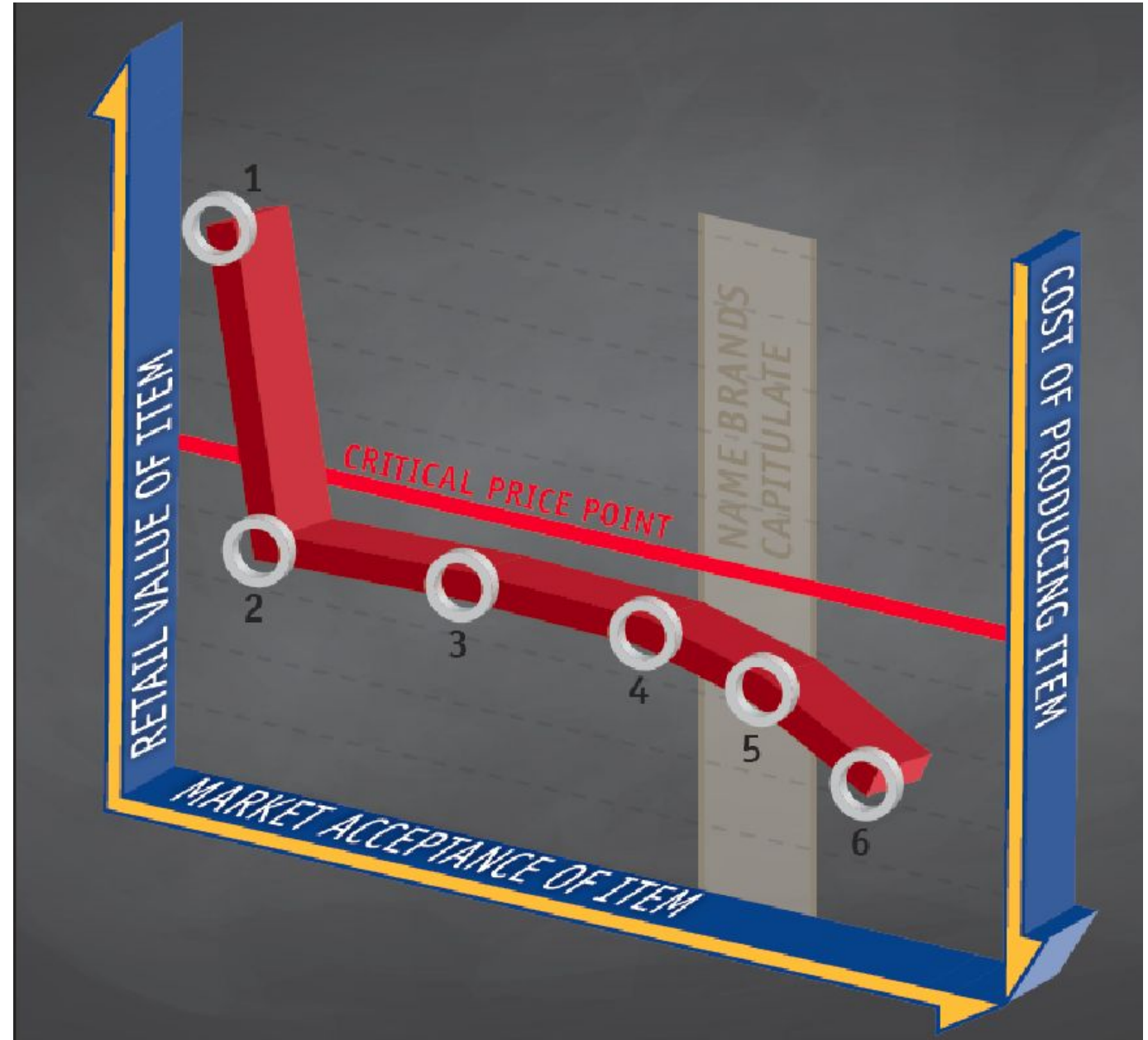
- **Critical Price Point\***
- **Market Acceptance**
- **Displacing Established Technology**
- **Becoming Ubiquitous (ever-present)**

New technologies often enter at a 'Premium' price point due to the cost of developing the technology, higher manufacturing costs (due to smaller sales volumes) and the 'uniqueness factor'.

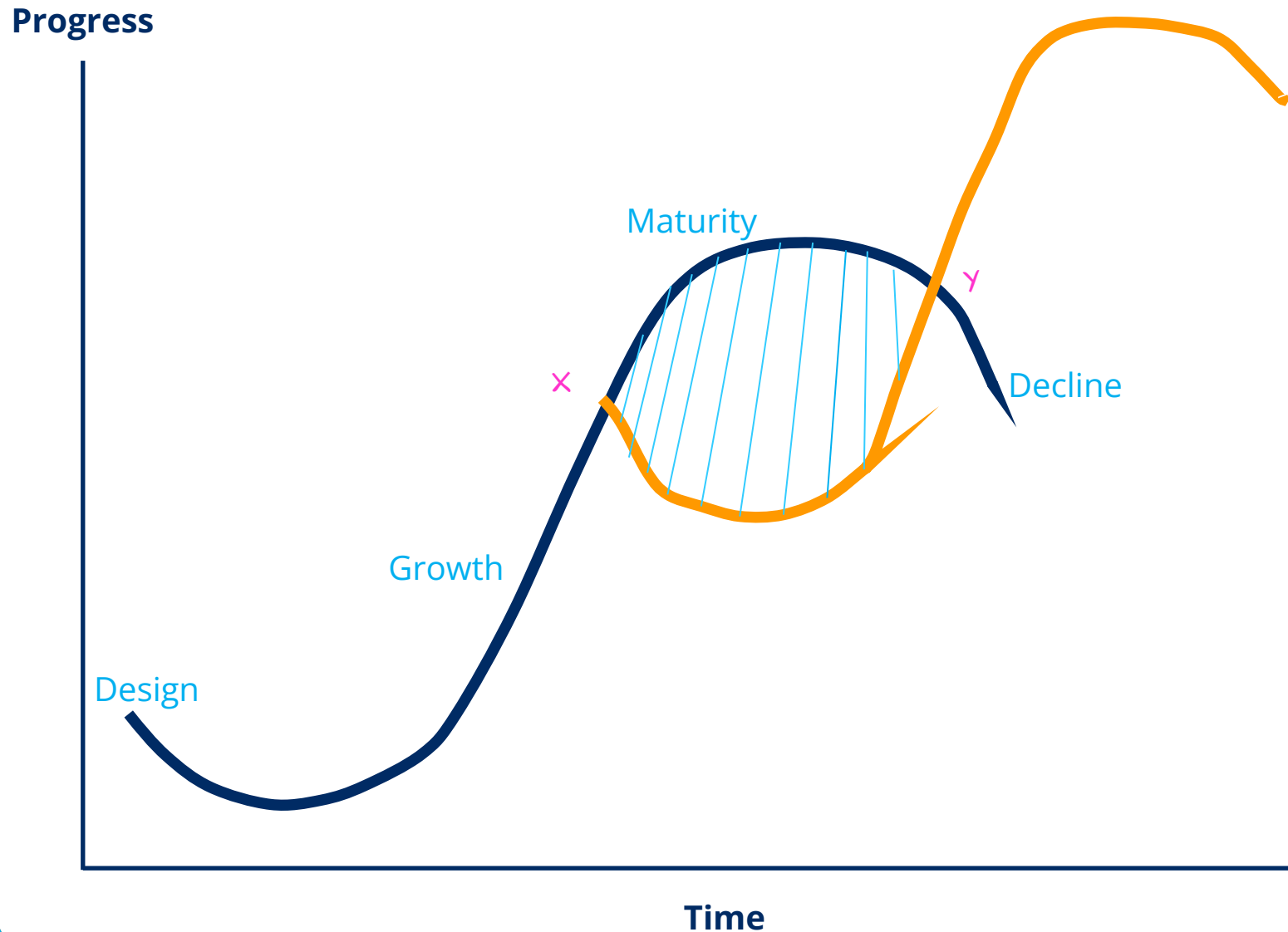
Once competitors release their (same or similar) versions then the race is on for the 'critical price point' that will entice the 'Early Majority' to demand the product/ service for themselves.

The next focus is on manufacturing / delivery efficiencies that can permit a lower price point whilst maintaining (or improving) profit margins.

The final 'price point' issue is when 'brand name' producers capitulate and withdraw from the market in search of the next 'best thing'. (Opportunity still exists in the tail - argues Chris Anderson)



# The Sigmoid Curve



The Sigmoid Curve (not dissimilar to a Sine Wave) seeks to determine the most efficient flow of energy and momentum.

In a business instance, to determine the Optimum Time to interrupt a Growth Curve before it reaches its peak.

(So as to Time the Introduction of another Product / Service so that the Predictable Negative outputs in the beginning, are offset by the still continuing growth of the original product / service)

Identify the Resistance

# What's Forcing The Change?

(Action Points)

# Porter's 5 Forces (Part 1)

Complete the Porter's 5 Forces table to record your **observations** ONLY. (For Now)

(Your **responses** will be determined in the next stage of this strategy session.)

(You don't have to follow any particular order; just capture your thoughts 'as you go')

# Product (Diffusion) Curve & Lifecycle

Complete the Curve & Cycle table to record your 'market acceptance' observations.

(Feel free to modify the frameworks to suit. You may translate the product lifecycle to MARKET-CYCLE instead. Growth, Maturity, Saturation & Decline phases can all be observed in the property market as an example)

Choose Your Competition Fronts

# What's Our Options?

**(Discussion Points)**

# Horizontal Integration (Considerations)

**Experience Related (Remotely) But Not Supportive of Core Product  
Offer Nil 'Scale or Cost' Benefits  
False Belief of 'Diversified Risk'**

Stereo  
Headphones

Tea

Magazines

Chocolate

Coffee

Tea

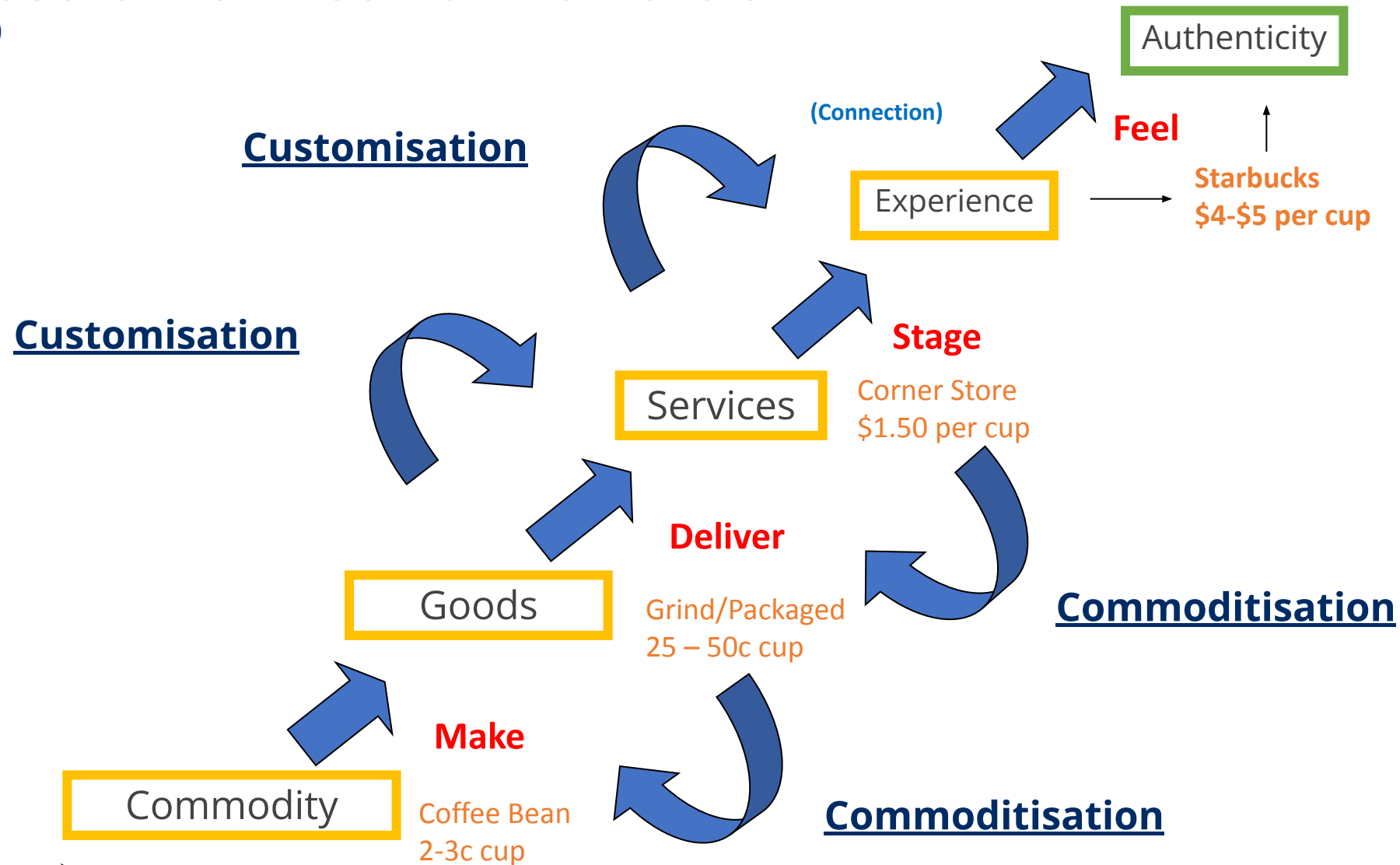
Biscuits

Crockery

**Experience Related, Supportive of Introductions to Core Product.  
Possibility of Supply, Management or Production Cost Savings.  
(note: one of these is not like the other...)  
{Perishable, Consumable, Low Price-Points}**

# Progression of Economic Value

(Joseph Pine)



“Customers will gladly spend both time and money for an experience of authenticity” (Joseph Pine)

| Economic Output | Business Imperative | Consumer Sensitivity |
|-----------------|---------------------|----------------------|
| Experience      | Render              | Authenticity         |
| Services        | Improve             | Quality              |
| Goods           | Quality Control     | Costs                |
| Commodities     | Supply              | Availability         |

# Blue Ocean Strategy

Std Competition 'Fronts'

## (Red Water Zone)

Price

Quality / Endurance

Convenience & Location

Consistency

Availability / (Volume / Scale)

Customer Experience

Effectiveness (Accuracy)

Efficiency (Reduced Wastage)

Easier (Familiar or More Simple)

Competitors seek to differentiate against each other but stay within the confines or 'normal' industry practice.

Customer needs & wants are considered but not completely centric to business structure.

Faster, Safer, Lighter

Tastier, Quieter, Softer/Harder

Cooler / Warmer / Smoother / Sharper / Aroma / Luxurious

Higher Status

Uniqueness / Tailored, Exclusivity

Newest / Latest

Aesthetics

Shocking or Disruptive

Humorous

Popularity vs. Private

The development of a NEW (Blue Ocean) strategy is aimed at identifying the key Frustrations / Concerns / Frictions that cause customers NOT to purchase. (from ANY provider)

You must seek to appeal to those customers that are on the 'Fringes' of purchasing but don't consider the standard industry offer as being of value or relevance to them (IN ITS CURRENT FORM)

This would leave you serving in a parallel industry – often with the aim of Lower Internal costs – meeting a customer need/want that is currently not being met by any of your competitors.

The most cited example is Cirque de Sole which reduced costs by removing animals from the show (in response to society backlash) yet increased the 'Theatre Experience' within a 'Circus Environment, thus allowing them to INCREASE ticket prices.

Their shows were uncontested (directly) and allowed them to 'own the industry'.

# Vertical Integration (Considerations)



Consider the options of Vertical or Horizontal Integration from the perspective of an 'Investor'.

That is to say, the extra business process should represent an opportunity to generate profits, by that activity, in isolation.

(Be careful; in your attempts to secure extra margin or control by absorbing an additional piece of your supply to distribution chain, you may well inherit a 'profit centre' that simply isn't feasible based on the volume you require to run your 'core business')

# (6) Critical Marketing Questions (To Consider)

- **Who are you targeting?**

(What is the profile of your ideal customer? – How would you describe them to others?)

- **What are their key concerns/common problems?**

(From their perspective (not yours) why do they seek a solution to their problem?)

- **What are their legitimate purchasing constraints?**

(What stops them from paying for an answer to their problem?)

- **What makes you special?**

(How can you solve your customer's problems easier than your competition? How do you reduce risk, improve convenience, provide greater certainty of outcomes or save money for them?)

- **How do you add value to your target market?**

(What do you DO for them? Does your promise 'speak your customers language'?)

- **What are the message channels that you can use to promote your business?**

(Does your target customer respond to social media, hard copy media, mainstream advertising?)

Choose Your Competition Fronts

# What's Our Options?

(Action Points)

## Porter's 5 Forces (Part 2)

Complete the Porter's 5 Forces table to record your RESPONSES .

(Now that you've had time to consider more information)

(You don't have to follow any particular order; just capture your thoughts 'as you go')

# Vertical/ & Horizontal Integration Tasks - (Complete the table below)

(How is our PROFITABILITY strengthened via Horizontal / Vertical Integration?)

|                                                  | Vertical Integration Tasks                              | Horizontal Integration Tasks                          |
|--------------------------------------------------|---------------------------------------------------------|-------------------------------------------------------|
| Priority Tasks                                   | Conduct feasibility on purchasing own timber mill       | Conduct feasibility on purchasing electrical firm     |
|                                                  |                                                         |                                                       |
|                                                  |                                                         |                                                       |
|                                                  |                                                         |                                                       |
| Owned vs. Contract of Supply or Formal Alliance? |                                                         |                                                       |
| Support Tasks                                    | Discuss contract of exclusive supply with local sawmill | Discuss exclusive contract of supply with electrician |
|                                                  |                                                         |                                                       |
|                                                  |                                                         |                                                       |
|                                                  |                                                         |                                                       |
| Customer Experience vs. Bottom Line Focus        | Bottom line - profit oriented                           | Customer experience - we control the job priorities   |

# Progression of Economic Value - (Complete the table below)

(How we cope with the cycles of 'Customisation vs. Commoditisation')

| Our Business Output (Delivery Promise)    | Our Business Imperative Tasks | Our Consumer Sensitivity Tasks          |
|-------------------------------------------|-------------------------------|-----------------------------------------|
| Our quality means cheaper in the long run | Quality Control               | Monitor & Record Failures / 'Comebacks' |
| 1 Enter your thoughts here...             |                               |                                         |
| 2                                         |                               |                                         |
| 3                                         |                               |                                         |
| 4                                         |                               |                                         |
| 5                                         |                               |                                         |

# Blue Ocean Strategy

Complete the Blue Ocean Fronts table to record your observations & response to competition in your marketplace.

(You don't have to follow any particular order; just capture your thoughts 'as you go')

Rehearse the Message

# Can We Clear The First Hurdle?

## 6 Marketing Questions/Answers:

Complete the 6 Marketing Answers table.

(This is a great way to gain a contextual understanding of the problems you seek to solve for your clients and therein, the value you offer.)

# A.I.D.C.R.A Advertising Model

| Attention                                                                                                                                                                                                                                                                                                                                                                             | Interest                                                                                                                                                                                                              | Desire                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Credibility                                                                                                                                                                                                                                                                                                                                                                                                 | Risk Removal                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Action                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Grab Their Attention                                                                                                                                                                                                                                                                                                                                                                  | Create Self Relevance                                                                                                                                                                                                 | Wants / Needs<br>Getting , Having, Keeping<br>Experience/ Doing,<br>Knowing, Relating, Being.                                                                                                                                                                                                                                                                                                                                                            | Achieve Status or<br>Authority in their mind.                                                                                                                                                                                                                                                                                                                                                               | Make it Safe & Easy for<br>them to take the first<br>step                                                                                                                                                                                                                                                                                                                                                                                                    | Tell them how to<br>purchase.<br>Clear & Simple                                                                                                                                                                                                                                                                                                                                                                                               |
| <ul style="list-style-type: none"> <li>Bright Colour</li> <li>Unique Noise</li> <li>Sexy Image</li> <li>Bold Headline</li> <li>Humourous Statement, Catch Phrase or Graphic</li> <li>Energetic Presenter</li> <li>Placement of Advert (which page of newspaper or position on screen, Time on TV etc)</li> <li>Movement (pop-up call to action on social media as example)</li> </ul> | <ul style="list-style-type: none"> <li>Description of 'common problem' solved by your product</li> <li>Description of client circumstance</li> <li>Consequences of having, not having, doing, not doing...</li> </ul> | <ul style="list-style-type: none"> <li>Limited Offer (Scarcity)</li> <li>Bargain Price</li> <li>Description of 'Customer Journey' or expected Transition. (How they struggled before but it's easy and they're successful now)</li> <li>Advantage over others</li> <li>Peer Status (admiration and appeal)</li> <li>Security &amp; Confidence</li> <li>Contribution to others</li> <li>Freedom</li> <li>Fear removed</li> <li>Get it Now/Fast</li> </ul> | <ul style="list-style-type: none"> <li>Demonstration of how product works to meet customer needs/ wants</li> <li>Social Proof by way of -<br/>Testimonials, References, Case Studies, Statistical Data, E-book,</li> <li>Statement of Reason ex- "Anyone can learn to play golf using the Binford 3000 club BECAUSE it increases the contact point, making your strike 20 percent more accurate"</li> </ul> | <ul style="list-style-type: none"> <li>Free Trial Offer</li> <li>Money Back Guarantee</li> <li>'Put it Right' Guarantee</li> <li>Evidence of Quality Proof Procedures</li> <li>30 min 'free support' on how to use product</li> <li>Free Suitability Assessment "If we can't find 5 ways to improve your golf swing there's no charge and you can walk away."</li> <li>Shop open at special hours so it's Convenient or Private for you to try...</li> </ul> | <ul style="list-style-type: none"> <li>3 Steps you need to take right now (first is easy &amp; low effort, 2<sup>nd</sup> is easy &amp; low effort, 3<sup>rd</sup> is easy and low risk)</li> </ul> <p>{Ex- 1. Check your calendar to see when you'd love to be on holiday. 2. Decide if you want Hot or Cold weather. 3. Click on the 'know more' button and book a free chat with one of our travel agents about the special offers...}</p> |

# (Our) A.I.D.C.R.A Advertisement (Complete the table below)

| Attention                       | Interest                            | Desire                                                                                                                      | Credibility                                             | Risk Removal                                                           | Action                                       |
|---------------------------------|-------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|------------------------------------------------------------------------|----------------------------------------------|
| What will grab Their Attention? | How will you Create Self Relevance? | What 'fuels their Desire'?<br>Wants / Needs<br>Getting , Having, Keeping<br>Experience/ Doing,<br>Knowing, Relating, Being. | How will you Achieve Status or Authority in their mind. | What can you do to Make it Safe & Easy for them to take the first step | Tell them how to purchase.<br>Clear & Simple |
|                                 |                                     |                                                                                                                             |                                                         |                                                                        |                                              |
|                                 |                                     |                                                                                                                             |                                                         |                                                                        |                                              |

Trial the Prototype

# What's Our Test Parameters? (Budget & Timeline)

# Test Parameters (Complete the table below)

| Test Element                      | Notes | \$ Budget | Timeline        |
|-----------------------------------|-------|-----------|-----------------|
| Product Development               |       | \$        | XYZ Days/ Weeks |
| Market Research                   |       | \$        | XYZ Days/ Weeks |
| Competitor Analysis               |       | \$        | XYZ Days/ Weeks |
| Team Learning/ Skills Development |       | \$        | XYZ Days/ Weeks |
| Prototype Solution                |       | \$        | XYZ Days/ Weeks |
| Messaging Appeal (test)           |       | \$        | XYZ Days/ Weeks |
| Other                             |       | \$        | XYZ Days/ Weeks |
| Other                             |       | \$        | XYZ Days/ Weeks |

# Notes:

Type your notes in here...